Illustration 9

On 1st April 2015, Kumar purchased a machine for ₹ 80,000 and spent ₹ 20,000 on its installation. The residual value at the end of its expected useful life of 8 years is estimated at ₹ 4,000. On 30th September 2017, the machine is sold for ₹ 50,000. Depreciation is to be provided according to straight line method. Prepare Machinery Account. Accounts are closed on 31st December every year.

Solution

$$\text{Amount of depreciation} = \frac{\text{Original cost of the asset} - \text{Estimated scrap value}}{\text{Estimated life of the asset in years}}$$

$$= \frac{1,00,000 - 4,000}{8}$$

$$= ₹\ 12,000 \text{ per year}$$

$$\text{Rate of depreciation per year} = \frac{\text{Amount of depreciation per year}}{\text{Original cost}} \times 100$$

$$= \frac{12,000}{1,00,000} \times 100 = 12\%$$

Note:

Cost of the asset = Purchase price + Installation cost

= 80,000 + 20,000 = ₹ 1,00,000

Ledger accounts

Dr. **Machinery Account** **Cr.**

Date	Particulars	₹	Date	Particulars	₹
2015			2015		
April 1	To Bank A/c	80,000	Dec 31	By Depreciation A/c	9,000
April 1	To Bank A/c	20,000		(1,00,000 ×12/100 × 9/12)	
			Dec 31	By Balance c/d	91,000
		1,00,000			1,00,000
2016			2016		
Jan 1	To Balance b/d	91,000	Dec 31	By Depreciation A/c	12,000
				(1,00,000 ×12/100)	
			Dec 31	By Balance c/d	79,000
		91,000			91,000
2017			2017		
Jan 1	To Balance b/d	79,000	Sep 30	By Depreciation A/c	9,000
				(1,00,000 ×12/100 × 9/12)	
			Sep 30	By Bank A/c	50,000
			Sep 30	By Profit and Loss A/c	20,000
				(Loss on sale)	
		79,000			79,000

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